

Movie Review: The Tax Free Tour

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The Tax Free Tour reveals how numerous large corporations use very advanced techniques in structuring their capital assets and business activities to significantly lower the amount of tax that they must pay. In the film, this intricate global tax avoidance system is described as being “an offshore world that exists behind physical and virtual walls”. The documentary opens by informing the viewer that Apple, a well-known technology company that is one of the largest in the world, managed to pay a corporate tax rate of only 1.9% per year on their profits, even though the official US corporate tax rate was much higher at 35%. That is a result of Apple’s usage of a system called the double Irish with a Dutch sandwich, which is one of the methods of tax avoidance that corporations use that is outlined in the film. Governments around the world lose out on a very large amount of tax revenue each year due to corporations, like Apple, taking advantage of the current global taxation system that was partially constructed by the governments. By losing out on this significant amount of tax revenue, the citizens of liberal democracies who elected these governments are negatively impacted. In short, by revealing how the global tax system works against the interests of ordinary people, *The Tax Free Tour* shows the flaws in the world’s current international order of liberalism.

In the 21st century, virtually every human being lives under the authority of some form of government. Governments exist to conduct many distinct functions that modern society requires. Society would be significantly worse in many aspects if governments did not exist, as there would be no authority to do the many functions that are essential for modern civilization, such as the provision of healthcare and education, protection for their citizens from foreign and domestic threats, building infrastructure, settling disputes, and upholding people’s civil liberties. Governments, just like almost every other organization, require money to be able to carry out their obligations. Since governments tend to have many of these obligations, they need to collect

a significant amount of tax revenue. As a result, taxes directly impact most people and businesses in the world every day in their many different forms, such as income taxes, sales taxes, capital gains taxes, and corporate taxes. Taxes were also very impactful on the lives of people in the past, as the first collection of taxes began about 5000 years ago in ancient Egypt¹. In today's world, the taxation system is far more complicated and is present all around the globe. Due to modern technology, corporations that have market caps of billions or even trillions of dollars earn a large part of their revenue through business activities conducted outside the country in which they are incorporated. This results in it being very complicated to determine which countries they owe tax money to and how much they owe.

Since the Second World War, one of the main features of the current liberal international order is that states should ideally cooperate with each other to solve problems², such as by enacting free trade agreements. Free trade led to the rise of massive multinational corporations since these large corporations very often have the means to produce better and cheaper products than smaller domestic corporations, which consumers would often prefer to purchase. Having consumers all around the world buying products from multinational corporations generates a lot of revenue, and governments require this revenue to be taxed. However, it is very difficult for governments to collect enough of this tax revenue that is owed to them because there is no “uniform financial economic world out there, especially when it comes to tax”. Corporations take advantage of the different tax rates in different countries.

This film is closely related to liberalism since the global corporate tax avoidance system works due to agreements such as tax treaties between states. For example, the film says that the Netherlands is a country where an exceptionally sizable proportion of global tax avoidance activity takes place since they have a very large number of tax treaties with other countries.

Liberals argue that international cooperation is generally beneficial³ but, in this case, countries cooperating by enacting tax treaties is not beneficial for governments' budgets since it aids corporations in avoiding paying taxes. Additionally, according to liberalism, governments have an important role to play in society, as they have a duty to ensure the well-being of their citizens, and that governments do this by upholding the fundamental rights to life, liberty, and property.⁴ If governments' tax revenues fall short of what they require, then their citizens' well-being will likely diminish. That is because governments would very likely have to pursue austerity measures to reduce this deficit by pursuing policies like increasing taxes on ordinary people or decreasing funding to services that people depend on for their quality of life. In *The Tax Free Tour* film, the Kenyan government enacted a policy where foreign corporations would be exempt from paying taxes for their first 10 years of operating in the country, but after 10 years they would be subject to a corporate tax rate of 25%. Many of the corporations avoided paying taxes entirely by changing their ownership or ceasing operations in Kenya before 10 years. As a result of this, the government of Kenya had to raise the sales tax to make up for the lost tax revenue. This harmed the personal finances, and therefore the well-being, of ordinary Kenyan people. This situation that Kenyans experienced because of their state's current taxation system is a prime example of how the current liberal international order favours the profits of corporations rather than the well-being of ordinary people. Multinational corporations very often do what is in their best interest, rather than the best interest of society at large. These multinationals, as well as the individuals who are employed by them, are key players in keeping the global corporate tax evasion system running, as they are the ones benefiting from the current system. Richard Murphy, an accountant who is featured in the film, said that the system is kept running due to three occupations: bankers, lawyers, and accountants. Murphy stated that some of the people

who work in the global corporate tax avoidance system use euphemisms such as “neutral taxation” or “tax optimization” in place of more directly admitting to paying no corporate tax. He also said that some of the people working in tax avoidance say that they believe that what they are doing is morally acceptable; that they are simply helping to foster competition. This is related to liberalism since liberals believe that people are inherently good,⁵ which likely explains why the people were using euphemisms and denialism to cover up their guilt of depriving governments of their tax revenue. On the other hand, a person in the film named Mr. Britton-Catlin stated that the global corporate tax avoidance system exists since “we’re greedy people”. Liberals also believe that non-state organizations, such as corporations and intergovernmental organizations, rather than just states, play an important role in international relations.⁶ This is reflected in the film, as Mr. Murphy said corporations like the big 4 accounting firms (Deloitte, PwC, EY, and KPMG) ensure that other corporations can avoid paying taxes to governments.

In conclusion, this film explains how corporations take advantage of the current international order of states being interconnected to pay very low tax rates, which is overall deeply unfair to ordinary people. The median taxpayer does not have the financial means to hire professionals to carry out the same advanced tax evasion methods that multinational corporations use. It would be far more equitable if a larger amount of the lost potential tax revenue that is being stored in offshore tax haven accounts and sent in dividends to wealthy corporate shareholders, to be spent by governments in the interest of the public. This amount of lost tax revenue is extremely large. Mr. Henry, in the film, stated that in 2010 he calculated that there is between 21 and 32 trillion dollars of cash in offshore accounts, and much of that is being hidden from governments to avoid taxation. Governments of liberal democracies are likely to spend money on what is in the best interests of their citizens since they would likely not be able to

garner enough support from voters to win re-election if they do not. In 2021, many liberal democracies that are members of the OECD, an intergovernmental organization that “works to build better policies for better lives”,⁷ established a global minimum corporate tax rate of 15%. This will likely reduce tax evasion by ensuring that corporations pay a fair amount of tax to governments. Mr. Henry explained how wealthy countries are lowering their corporate tax rates to be competitive to attract multinational corporations, but they will never be able to compete with a corporate tax rate of zero percent, which is what many countries that are tax havens have. However, since there is anarchy at the international level and therefore no authority above states,⁸ it is impossible to eliminate the global corporate tax avoidance system. The current liberal international order upholds the sovereignty of states, which includes states being able to set their own tax rates, so states that are tax havens cannot be compelled to alter their tax code to close loopholes. This is the case with the global minimum corporate tax rate, as there are 195 countries in the world,⁹ but approximately 50 countries did not agree to the global minimum corporate tax rate.¹⁰ States are assumed to be rational and do what is best for themselves, so they generally desire to balance receiving tax revenue from corporations, while also keeping corporate tax rates competitive so that corporations do business in their country, which both benefit ordinary people. Also, it is only just for corporations to pay a fair amount of taxes to the states in which they operate since they would not be able to earn revenue in them if it were not for the state providing them with what they need to be able to function, such as security and infrastructure. It is crucial that the public understands how corporations negatively impact them by using the current liberal international order to not pay a fair amount of tax so that they can urge governments and intergovernmental organizations to take action to ensure that multinational corporations pay enough taxes to make the world better overall.

Notes

- ¹ Sharlach, Tonia. "Taxes in the Ancient World." 4/2/2002, taxes in the ancient world - almanac, vol. 48, no. 28, April 2, 2002.
<https://almanac.upenn.edu/archive/v48/n28/AncientTaxes.html>.
- ² McGlinchey, Stephen, Christian Scheinpflug, and Rosie Walters. *International relations theory*. Bristol: E-International relations, 2017.
- ³ Clark, Janine. "Liberalism Lecture." *POL114*. Lecture, 2024.
- ⁴ McGlinchey, Stephen, Christian Scheinpflug, and Rosie Walters. *International relations theory*. Bristol: E-International relations, 2017.
- ⁵ Clark, Janine. "Liberalism Lecture." *POL114*. Lecture, 2024.
- ⁶ Clark, Janine. "Liberalism Lecture." *POL114*. Lecture, 2024.
- ⁷ "About the OECD - OECD." OECD. Accessed March 3, 2024. <https://www.oecd.org/about/>.
- ⁸ Clark, Janine. "Liberalism Lecture." *POL114*. Lecture, 2024.
- ⁹ "Countries in the World:" Worldometer. Accessed March 3, 2024.
<https://www.worldometers.info/geography/how-many-countries-are-there-in-the-world/>.
- ¹⁰ Torkington, Simon. "What Does a 'global Minimum Tax' Mean for Global Cooperation?" World Economic Forum, February 2, 2024.
<https://www.weforum.org/agenda/2024/02/oecd-minimum-tax-rate/>.

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